



Intent vs. Capacity



Having a very good credit score but a high Debt-to-Income (DTI) ratio creates a classic conflict for lenders. In the banking world, your credit score represents your **intent** to repay—it proves that you are a responsible borrower who pays bills on time. However, your DTI ratio represents your **capacity** to repay. Even if you have the best intentions and a perfect track record, a high DTI tells the lender that your monthly paycheck is already stretched too thin.

Because NBFCs need to know you have enough cash left over to comfortably afford a new EMI along with your living expenses, a high DTI (usually anything above 50%) is a major red flag.

How NBFCs Handle This Scenario

If you apply with an excellent credit score but a high DTI, the lender will not automatically reject you, but they will take steps to manage their risk. Here is what is most likely to happen:

A Reduced Loan Offer: Instead of approving the total amount you asked for, the lender will calculate the maximum EMI you can handle without pushing your DTI past their limit (usually 50%). They will then offer you a smaller loan amount that fits that specific EMI.

An Extended Loan Tenure: To make the math work, the NBFC might stretch out the repayment period. A longer tenure means a smaller monthly EMI. While this lowers your DTI impact and gets you approved, it also means you will pay more in total interest over the life of the loan.

Requesting a Co-Applicant: The lender may ask you to add a working family member (like a spouse) as a co-applicant. By combining both of your incomes, the overall DTI ratio drops significantly, making it much easier to approve the full loan amount you requested.

Outright Rejection: If your DTI is exceptionally high (for instance, 60% or 70%), the lender may simply reject the application. Even with a perfect



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